

2022 P T D 1441

[Lahore High Court]

Before Jawad Hassan, J

ASAD ARFEEN

Versus

PROVINCE OF PUNJAB and others

Writ Petition No.39849 of 2021, decided on 22nd June, 2021.

(a) Punjab Finance Act (XVII of 2014)---

---S.8---Punjab Luxury House Tax Rules, 2014, R.4---Luxury house tax---Duties and powers of assessing authority---Scope---Petitioner invoked constitutional jurisdiction of High Court against the recovery notice for payment of luxury house tax---Validity---Luxury tax had been imposed on the petitioner by the department while ignoring the procedure laid down under S. 8 of Punjab Finance Act, 2014 and R. 4 of Punjab Luxury House Tax Rules, 2014---Constitutional petition was disposed of with a direction to the department to entertain the objections of the petitioner and in the meanwhile, no coercive measures for recovery were to be taken against the petitioner.

Muhammad Khalid Qureshi v. Province of Punjab through Secretary, Excise and Taxation Department Lahore and another 2017 CLC 523 and Mst. Asiya Ashraf Chaudhary v. Government of the Punjab and others 2020 CLC 503 ref.

(b) Punjab Finance Act (XVII of 2014)---

---S.8---Punjab Urban Immovable Property Tax Act (V of 1958), S.10---Punjab Luxury House Tax Rules, 2014, R.10---Constitution of Pakistan, Art. 199---Constitutional jurisdiction---Maintainability---Alternate remedy, availability of---Factual controversy---Scope---Petitioner invoked constitutional jurisdiction of High Court against recovery notice for payment of luxury house tax---Validity---Right of appeal was provided to the petitioner under S.10 of the Punjab Urban Immovable Property Tax Act, 1958 read with R.10 of the Punjab Luxury House Tax Rules, 2014---Factual controversy involved in the matter could be resolved by the High Court while exercising jurisdiction under Art.199 of the Constitution---Constitutional petition was disposed of with a direction to the department to entertain the objections of the petitioner and in the meanwhile, no coercive measures for recovery were to be taken against the petitioner.

(c) Constitution of Pakistan---

---Arts.4, 23 & 24---Right of individuals to be dealt in accordance with law---Provision as to property---Protection of property rights---Scope---It is an inalienable right of every citizen to be treated in accordance with law and no action detrimental to his life, liberty, reputation or property shall be taken except as per law.

(d) Constitution of Pakistan---

----Art.10-A---Right to fair trial---Scope---Article 10-A of the Constitution protects civil rights and obligations of all the citizens in granting them a fair trial and due process.

Barrister Haroon Dugal, Advocate Supreme Court for Petitioner.

Barrister Hassan Khalid Ranjha, A.A.G. (on Court's call).

Date of hearing: 22nd June, 2021.

JUDGMENT

JAWAD HASSAN, J.---The Petitioner has filed this petition under Article 199 of the Constitution of Islamic Republic of Pakistan, 1973 (the "Constitution") against recovery notice dated 04.06.2021 issued by the Respondent No.3 for payment of luxury house tax.

2. Barrister Haroon Dugal, ASC submits that the Petitioner is a respectable citizen of Pakistan and has been burdened with luxury house tax by the concerned authority without adopting proper procedure provided under the law. He further submits that the issue of luxury tax has already been settled by a Division bench of this Court in a landmark judgment reported as Muhammad Khalid Qureshi v. Province of Punjab through Secretary, Excise and Taxation Department Lahore and another (2017 CLC 523) in which the Division Bench has discussed in detail the provisions of the Punjab Urban Immoveable Property Tax Act, 1958 (the "Act") as well as the West Pakistan Urban Immoveable Property Tax Rules, 1958 (the "Rules"). Barrister Haroon Dugal, ASC contends that the impugned action of recovery of luxury tax is without proper procedure given in the Act and the Rules.

3. Learned Law Officer has objected to the maintainability of this petition by stating that the recovery notice has been issued in accordance with law and no interference by this Court is called for.

4. Arguments heard. Record perused.

5. From perusal of the impugned recovery notice, it is manifest that the same has been issued to the Petitioner without adopting proper procedure as prescribed under the Act and the Rules. The owner of property is defined in Section 2(e) of the Act and definition of tax is given in Section 2(h) thereof while the tax is levied as per provisions of Section 3 of the Act but the process for recovery of tax is given under the Rules. Tax is levied and recovered through a proper procedure on the Forms specified under the Rules which are made under Section 23 of the Act. The mechanism, mode and method of tax is provided under Rule 5 with an opportunity to the taxpayer to file objections under Rule 8 and hearing on the said objections under Rule 10 of the Rules whereas recovery of tax is made through Forms P.T-1 to P.T.13. The Property Register is prepared by the Assessing Authority in Form P.T.1 for rating area with the detail of necessary particulars, which also includes the name and detail of owner of the property against which tax is levied; Form P.T.9 is the notice of demand and the amount of tax to be paid is issued on challan in Form P.T.10. The exercise of imposing luxury tax has been carried out by the

Respondent No.3 by ignoring the procedure laid down under the Act read with the Rules, which violates the Petitioner's fundamental rights as protected under Article 23 read with Article 24 of the Constitution, scope of which has been expanded by this Court in the judgment; reported as *Mst. Asiya Ashraf Chaudhary v. Government of the Punjab and others* (2020 CLC 503 Lahore). Moreover, under Article 4 of the Constitution, it is an inalienable right of every citizen to be treated in accordance with law and no action detrimental to his/her life, liberty, reputation or PROPERTY shall be taken except as per law and in this case the relevant law (the Act and the Rules) has not been followed by the concerned authority in letter and spirit. Under Rule 8 of the Rules, a taxpayer is entitled to raise objections to the demand created under Form PT-9 or P.T-10 and the provision of hearing on said objections is given under Rule 10 of the Rules. It is to be noted that Article 10-A of the Constitution protects civil rights and obligations of all the citizens in granting them a fair trial and due process. Furthermore, against the impugned recovery notice, right of appeal is provided to the Petitioner under Section 10 of the Act read with Rule 13 of the Rules. The factual controversy involved in the matter cannot be resolved by this Court while exercising jurisdiction under Article 199 of the Constitution.

6. In view of the above, following the principle of limine control developed by this Court in the case of *Asif Saleem v. Chairman BOG University of Lahore and others* (PLD 2019 Lahore 407), this writ petition is disposed of with a direction to the Respondent No.3 to entertain the objections, if any raised by the Petitioner; grant him an opportunity of being heard and then conclude the whole proceedings strictly in accordance with relevant provisions of the Act and the Rules, within two months from the receipt of certified copy of this order. In the meanwhile, under the principle of stopgap arrangement developed by this Court in the case of *Shell Pakistan Limited v. Government of Punjab and others* (2020 PTD 1607), no coercive measures shall be taken against the Petitioner for recovery of the disputed luxury tax till finalization of the matter by the Respondent No.3.

SA/A-90/L

Order accordingly.